SUPERIOR COURT OF CALIFORNIA, CONTRA COSTA COUNTY
MARTINEZ, CA
DEPARTMENT 34
JUDICIAL OFFICER: LEONARD E MARQUEZ
HEARING DATE: 07/27/2026

INSTRUCTIONS FOR CONTESTING TENTATIVE RULING IN DEPARTMENT 34

The tentative ruling will become the ruling of the Court unless by 4:00PM of the Court day preceding the hearing, notice is given of an intent to argue the matter. Counsel or self-represented parties must email Department 34 (Dept34@contracosta.courts.ca.gov) to request argument and must specify, in detail, what provision(s) of the tentative ruling they intend to argue and why. Counsel or self-represented parties requesting argument must advise all other counsel and self-represented parties by no later than 4:00PM of their decision to argue, and of the issues to be argued. Failure to timely advise the Court and counsel or self-represented parties will preclude any party from arguing the matter. (Pursuant to Local Rule 3.43(2).)

ALL APPEARANCES TO ARGUE WILL BE IN PERSON OR BY ZOOM, PROVIDED THAT PROPER NOTIFICATION IS RECEIVED BY THE DEPARTMENT AS PER ABOVE.

Zoom link-

https://contracosta-courts-ca.zoomgov.com/j/1611085023?pwd=SUxPTEFLVzRFYXZycWdTWlJCdlhIdz09

Meeting ID: 161 108 5023
Passcode: 869677

Courtroom Clerk's session

1. 10:00 AM CASE NUMBER: C23-00011
CASE NAME: KATHLEEN MAGANA VS. SURINDER SINGH SANGHA
JURY TRIAL
FILED BY:
TENTATIVE RULING:

Parties to Appear.

Law & Motion

2. 9:00 AM CASE NUMBER: C22-01880
CASE NAME: HERNANDEZ VS. SATHRI
***HEARING ON MOTION IN RE: SUMMARY JUDGMENT**

FILED BY:
TENTATIVE RULING:

Continued by the Court to October 12, 2026.

3. 9:00 AM CASE NUMBER: C24-00945
CASE NAME: BANK OF AMERICA N.A. VS. MARK BREGMAN
***HEARING ON MOTION IN RE: SET ASIDE DISMISSAL AND ENTER JUDGMENT UNDER STIPULATION**
FILED BY: BANK OF AMERICA N.A.
TENTATIVE RULING:

Plaintiff Bank of America, N.A. ("Plaintiff") filed a Motion to Set Aside the Dismissal to Enter Judgment Pursuant to Stipulation on March 3, 2026 ("Motion to Enter Stipulated Judgment after Default"). The Motion to Enter Stipulated Judgment after Default was set for hearing on July 27, 2026.

Background

The parties entered into that certain settlement agreement on or about May 30, 2024 (the "Settlement Agreement"), the terms of which included payment by the defendant debtor Mark F. Bregman ("Defendant") in the amount of $36,159.83, to be paid in accordance with the terms thereof (the "Payment Terms and Conditions"). See Settlement Agreement filed June 17, 2024, ¶¶1-4; see also Declaration filed as part of Motion to Enter Stipulated Judgment after Default ("Supporting Declaration"), ¶¶2-3. The Court hereby takes judicial notice of the Settlement Agreement. See Request for Judicial Notice filed March 3, 2026, **Exhibit B**. As part of the Settlement Agreement, the parties entered into a stipulation for entry of judgment in the event of a default. See Settlement Agreement, ¶¶1-4.

Defendant defaulted on the Payment Terms and Conditions. Supporting Declaration, ¶4. Defendant failed to cure after notice. *Id.* at ¶5 and **Exhibit A** thereto.

After credit for amounts paid, there remains $15,356.22 due and owing, plus costs of $1,003.61. See Supporting Declaration, ¶7.

An Amended Notice of Motion was filed March 30, 2026. The Proof of Service filed March 30, 2026 reflects service of the amended motion on Defendant with the July 27, 2026 hearing date included.

Analysis

Defendant was duly served with the motion. The motion is unopposed.

Disposition

The Court finds and orders as follows:

1. The Court finds that Defendant was duly served with the motion.
2. The Court finds that Defendant is in default of the Settlement Agreement.

3. The Motion to Enter Stipulated Judgment after Default is GRANTED. Plaintiff shall have judgment against Defendant in the principal amount of $15,356.22, plus costs of $1,003.61.
4. Plaintiff's submitted form of order and/or money judgment against Defendant will be entered by the Court. Any prior dismissal entered herein against the Defendant is hereby set aside in connection with entry of such judgment.

4. 9:00 AM CASE NUMBER: C24-01160
CASE NAME: DENEA MARHX VS. INTERNATIONAL CHURCH OF THE FOURSQUARE GOSPEL
HEARING ON SUMMARY MOTION BY DEFENDANT INTERNATIONAL CHURCH OF THE FOURSQUARE GOSPEL
FILED BY:
TENTATIVE RULING:

Before the Court is a motion for summary judgment by defendant International Church of the Foursquare Gospel. For the reasons set forth, the motion is **DENIED**.

Background

Plaintiff Denea Marhx was employed by defendant International Church of the Foursquare Gospel ("International Foursquare"), and specifically by its branch the Danville Foursquare Church, known as "The Rock." (Def. Separate Statement ("SS") of Undisputed Material Facts ("UMFs") 7, 8; Compl. ¶¶ 2, 3, 10.) Though Danville Foursquare Church was named as a separate defendant and legal entity, International Foursquare states The Rock is not a separate legal entity from International Foursquare. (UMF 7; Fry Decl. ¶ 1.)

Plaintiff alleges she was employed by International Foursquare beginning in 2006, was moved to the district office of International Foursquare in 2014 and began serving as Finance Director at The Rock in May 2017. (Compl. ¶¶ 10, 12.) She was terminated by The Rock on October 4, 2023, though she was rehired in a temporary capacity for between October 19, 2023 and January 7, 2024, when her temporary position expired. (Compl. ¶¶ 53, 57-61.)

Plaintiff alleges that she became aware of, and reported, several financial improprieties regarding the use of The Rock's funds and personal expenditures by The Rock's pastor, Rick Fry, and his family. (*See generally* Compl. ¶¶ 13-52.) Marhx alleges that her employment was wrongfully terminated in retaliation for her reporting unlawful and improper financial activities by The Rock, Pastor Fry, and his family members. (Compl. ¶¶ 41-61, 66-73, 75-79.)

Legal Standards for Ruling on Defendant's Motion

Under Code of Civil Procedure section 437c(c), a motion for summary judgment "shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law." (Code Civ. Proc. § 437c(c).) When a defendant moves for summary judgment, the defendant bears the burden of producing evidence that plaintiff cannot prove one or more essential elements of plaintiff's claim or that there is a complete defense to the claim. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850; Code Civ. Proc. § 437c(p)(2).) Once the defendant meets this initial burden, the burden shifts to the plaintiff to produce admissible evidence showing that a triable issue of fact exists. (*Advent, Inc. v. National Union Fire Ins. Co. of Pittsburgh, PA* (2016) 6 Cal.App.5th 443, 453; Code Civ. Proc. § 437c(p)(2).)

The issues to be considered on a motion for summary judgment are defined by the pleadings. (*Doe v. Good Samaritan Hospital* (2018) 23 Cal.App.5th 653, 661.) The Court may not weigh the evidence but must view it "in the light most favorable to the opposing party and draw all reasonable inferences in favor of that party. [Citations omitted.]" (*Weiss v. People ex rel. Dept. of Transportation* (2020) 9 Cal.5th 840, 864.) Declarations and other evidence offered in support of a motion for summary judgment are strictly construed, while declarations and evidence offered in opposition to the motion are liberally construed. (*D'Amico v. Bd. of Medical Examiners* (1974) 11 Cal.3d 1, 20; *Johnson v. American Standard* (2008) 43 Cal.4th 56, 64.)

" '[S]ummary judgment cannot be granted when the facts are susceptible to more than one reasonable inference . . . .' " (*Husman v. Toyota Motor Credit Corp.* (2017) 12 Cal.App.5th 1168, 1180; *Cohen v. Five Brooks Stable* (2008) 159 Cal.App.4th 1476, 1497.) "All doubts as to the propriety of granting the motion—i.e., whether there is any triable issue of material fact—are to be resolved in favor of the party opposing the motion." (*Cohen v. Five Brooks Stable, supra,* 159 Cal.App.4th at 1483.)

<u>Defendant's Request for Judicial Notice</u>

Defendant requests the Court take judicial notice of (a) International Foursquare's Articles of Incorporation filed with the California Secretary of State on December 30, 1927; (b) the Certificate of Amendment of the articles filed on November 1, 1977 with the California Secretary of State; and (c) the absence of any subsequent amendments to the articles. (Def. RJN ¶¶ 1-3 and Exhs. A and B; Evid. Code §§ 452(c) and (h).) The Court **GRANTS** the unopposed request, subject to the limitations on the scope of judicial notice. (*StorMedia, Inc. v. Superior Court* (1999) 20 Cal.4th 449, 457, fn. 9 [judicial notice does not extend to the truth or proper interpretation of a pleading to the extent reasonably disputable]; *Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 113-115 [same].) The Court notes that UMFs 1-6 addressing the formation of International Foursquare and its purposes are undisputed. (Pl. Resp. to UMFs 1-6.)

<u>Defendant's Late Reply</u>

Under Code of Civil Procedure section 437c(b)(4), revised effective as of January 1, 2025, a reply to an opposition to a motion for summary judgment is due 11 calendar days prior to the hearing. The reply was due on July 16, 2026. Defendant submitted its reply five days late on July 21, 2026, without any request for consideration of the late reply or explanation or excuse for the late filing. There is nothing in the record showing grounds for the Court's consideration of the late reply. However, even if the Court considered the late reply, the Court has concluded Plaintiff has demonstrated the existence of triable issues regarding the application of the ministerial exception under the circumstances.

<u>Analysis</u>

Plaintiff's complaint alleges a first cause of action for whistleblower retaliation in violation of Labor Code section 1102.5 and a second cause of action for wrongful termination in violation of public policy. Plaintiff has dismissed her third cause of action for failure to reimburse her for certain expenses. (Req. to Dism. filed 7/6/2026.)

Defendant International Foursquare moves for summary judgment on the complaint in its entirety based on the "ministerial exception" founded on the religion clauses of the First Amendment of the U.S. Constitution. International Foursquare pled the ministerial exception as its 36th affirmative defense in its answer. (Ans. p. 8, ¶ 36.) Plaintiff opposes the motion, contending that she was not employed in a ministerial role, or at a minimum, that there are triable issues of fact as to whether her position meets the ministerial exception, precluding summary judgment.

A. Legal Background: Religion Clauses of the Constitution and the Ministerial Exception

Defendant relies on two United States Supreme Court decisions, *Hosanna-Tabor Evangelical Lutheran Church School v. EEOC* (2012) 565 U.S. 171 and *Our Lady of Guadalupe School v. Morrisey-Berru* (2020) 591 U.S. 732 which held that state and federal employment anti-discrimination laws did not apply to the hiring and firing of ministers of a religious organization because of the First Amendment's religion clauses. The principle is known as the "ministerial exception."

In *Hosanna-Tabor, supra,* 565 U.S. 171, in an employment discrimination claim by a teacher at a Lutheran school, the United States Supreme Court held that both the establishment clause and the freedom of religion clause of the First Amendment "precluded the government from interfering with the decision of a religious group to fire one of its ministers." (*Id.* at 181.) The Court cited decisions of the Courts of Appeals in cases dealing with Title VII of the Civil Rights Act of 1964, 42 U.S.C. §2000e *et seq*., and other employment discrimination laws which "have uniformly recognized the existence of a 'ministerial exception,' grounded in the First Amendment, that precludes application of such legislation to claims concerning the employment relationship between a religious institution and its ministers." (*Id.* at 188.) The Court agreed such an exception exists, and it explained the rationale for the exception: "The members of a religious group put their faith in the hands of their ministers. Requiring a church to accept or retain an unwanted minister, or punishing a church for failing to do so, intrudes upon more than a mere employment decision. Such action interferes with the internal governance of the church, depriving the church of control over the selection of those who will personify its beliefs. By imposing an unwanted minister, the state infringes the Free Exercise Clause, which protects a religious group's right to shape its own faith and mission through its appointments. According the state the power to determine which individuals will minister to the faithful also violates the Establishment Clause, which prohibits government involvement in such ecclesiastical decisions." (*Id.* at 188-189.)

The Court expressly declined "to adopt a rigid formula for deciding when an employee qualifies as a minister." (*Id.* at 190.) Instead, the Court held that on the facts presented in that particular case, the teacher was subject to the ministerial exception: "In light of these considerations--the <u>formal title</u> given Perich by the Church, the <u>substance reflected in that title</u>, <u>her own use of that title</u>, and <u>the important religious functions she performed for the Church</u>--we conclude that Perich was a minister covered by the ministerial exception." (*Id.* at 192 [emphasis added].) The teacher in that case was a "called" teacher (called by God), trained in a course of theological study by the Synod, and held the title Minister of Religion, Commissioned, in contrast to lay teachers at the school who had no training requirement or were not required to be Lutheran. (*Id.* at 171.)

In *Our Lady of Guadalupe, supra,* 591 U.S. 732, two teachers made claims against two Catholic religious schools alleging employment discrimination in the schools' decision not to renew the teachers' respective one-year employment contracts. The United States Supreme Court held that the ministerial exception applied to the teachers, reversing rulings by the Ninth Circuit which reversed trial court rulings granting summary judgment to the defendant schools.

In addressing whether the ministerial exception applied, the Court explained that "[w]hat matters, at bottom, is what an employee does." (*Id*. at 753-754.) Applying the principles of the ministerial exception from *Hosanna-Tabor*, the Court held the claims of the teachers in that case fell within the exception: "When a school with a religious mission entrusts a teacher with the responsibility of educating and forming students in the faith, judicial intervention into disputes between the school and the teacher threatens the school's independence in a way that the First Amendment does not allow." (*Id.* at 762.) The Court found that the Ninth Circuit improperly relied on the factors cited by the Court in *Hosanna-Tabor* as a rigid test that must be met for the ministerial exception to apply. (*Id.* at 760-762 [stating the Ninth Circuit "treated the circumstances that we cited in *Hosanna-Tabor* as factors to be assessed and weighed in every case" and noting the Court in *Hosanna-Tabor* expressly declined to create a rigid text].) Rather, the Court stated that the four factors in *Hosanna-Tabor* are "not inflexible requirements and may have far less significance in some cases," such that courts must "take all relevant circumstances into account" and determine whether the particular position at issue "implicate[s] the fundamental purpose of the exception." (*Id.* at 753, 758.)

In holding that the teachers in *Our Lady of Guadalupe* were within the ministerial exception, the Court explained, "There is abundant record evidence that <u>they both performed vital religious duties</u>. Educating and forming students in the Catholic faith <u>lay at the core of the mission of the schools where they taught</u>, and their employment agreements and faculty handbooks specified in no uncertain terms that <u>they were expected to help the schools carry out this mission</u> and that their work <u>would be evaluated to ensure that they were fulfilling that responsibility</u>. As elementary school teachers responsible for providing instruction in all subjects, including religion, <u>they were the members of the school staff who were entrusted most directly with the responsibility of educating their students in the faith</u>. And not only were they obligated to provide instruction about the Catholic faith, but <u>they were also expected to guide their students, by word and deed, toward the goal of living their lives in accordance with the faith</u>. They prayed with their students, attended Mass with the students, and prepared the children for their participation in other religious activities. " (*Id.* at 756-757 [emphasis added].)

Defendant cites a number of other decisions in which the ministerial exception has been applied, including decisions in the Ninth Circuit and from federal courts in other circuits. While the Court is bound by decisions of the United States Supreme Court, the decisions of lower federal courts including the Ninth Circuit are persuasive but not binding authority in California trial courts. (*Ehrenkranz v. San Francisco Zen Center* (2026) 116 Cal.App.5th 977, 995 [citing *Lorenzo v. San Francisco Zen Center* (2025) 116 Cal.App.5th 258, 276 *review granted* February 11, 2026, 583 P.3d 51, 52 [to address whether ministerial exception "categorically" precludes "wage and hour claims by a minister against a religious organization without any inquiry into whether the claim touches upon any ecclesiastical concern"].)

B. <u>California Decisions Addressing the Ministerial Exception</u>

The parties direct the Court to several published California decisions addressing the ministerial exception. *Gunn v. Mariners Church, Inc*. (2008) 167 Cal.App.4th 206 applied the ministerial exception to statements made by church officials to the congregants after termination of the plaintiff's employment as <u>worship director</u> of the church after the church discovered he was homosexual. The plaintiff conceded the church's "actions were religiously motivated and in furtherance of its established church policy regarding termination of ministerial leaders in the church," and the Court held that the ministerial exception barred the plaintiff's claims in that case, as the court would necessarily involve inquiry into the doctrinal beliefs of the church, in violation of the First Amendment. (*Id*. at 208, 216-217.) In *Gunn*, there was no dispute as to whether or not the ministerial exception applied to the decision to fire the plaintiff; as the worship director, he clearly was a minister.

Henry v. Red Hill Lutheran Church of Tustin (2011) 201 Cal.Ap.4th 1041 held the ministerial exception barred the plaintiff's wrongful termination claim, which she brought after she was terminated for living with her boyfriend and raising their child without being married. (*Id.* at 1045.) Plaintiff was employed by the church's preschool as a teacher and director, she taught religion and led bible study with her students, she was required to attend weekly devotionals and pray for her fellow teachers, and she attended weekly chapel services with the preschool, at which she was one of the teachers who led the chapel services on a rotating basis. (*Id.* at 1046-1047.) The written professional expectations established by the school for teachers each year required her "to serve as a Christian role model to the students and their parents, both in and out of school." (*Id.* at 1046.) The Court concluded the ministerial exception applied, explaining that one of the purposes of a ministerial employee is "to bring people to the church. Henry fulfilled that function by teaching her preschoolers religion, leading them in prayers every day, and leading chapel services. She taught religion and spread the faith." (*Id.* at 1055.)

In *Atkins v. St. Cecilia Catholic School* (2023) 90 Cal.App.5th 1328, a former employee of a Catholic school sued for age discrimination after her position was terminated. She worked as an office administrative assistant and was a fine arts teacher at the school. The Court of Appeal reversed the trial court's order granting summary judgment to the school based on the ministerial exception. Considering all the relevant circumstances, the Court found there were triable issues of fact as to whether the plaintiff's role fit the ministerial exception: "While St. Cecilia presented evidence that Atkins prayed with the students in her art class and promoted the ADLA's [Archdiocese of Los Angeles's] six tasks of catechesis by encouraging “Christ-like” behavior in her class, there was no evidence that she ever taught, or was expected to teach, any type of religious curriculum. There was also no evidence that Atkins ever led any religious services, accompanied the students to religious services, or prepared the students to participate in religious services or activities. Given that Atkins held dual roles at St. Cecilia as an art teacher and an office administrator, we cannot conclude on this record that educating students in the Catholic faith lay at the core of her job responsibilities." (*Id.* at 1345.) Plaintiff's office administration work was "purely secular." (*Id.* at 1345.)

Defendant cites *Schmoll v. Chapman University* (1999) 70 Cal.App.4th 1434, a case which held that the First Amendment religions clauses precluded the plaintiff's claim for violations of the Fair Employment and Housing Act, Government Code section 12940, *et. seq.* The plaintiff in that case was the chaplain and director of campus ministry for Chapman College, a university affiliated with the Disciples of Christ church. (*Id.* at 1436.) The Court held that the First Amendment protected the university's decisions affecting its minister's employment, whether the decisions were made based on religious doctrine or economics and whether they involved hiring, firing, discipline, or changes in the terms of the minister's employment. (*Id.*) There was no dispute in that case that the chaplain qualified as a minister for purposes of the ministerial exception.

Plaintiff cites *Hope International University v. Superior Court* (2004) 119 Cal.App.4th 719, a case involving employment discrimination claims against a university affiliated with the Church of Christ, a university which was clearly a religious institution. (*Id.* at 724.) The Court could not say "*as a matter of law* that the ministerial exception applie[d]" to the plaintiffs, two professors who were married to each other and taught psychology classes at the university. (*Id.* at 724, 725-726 [italics in original].) It examined numerous decisions applying the ministerial exception, categorizing the cases as either "relatively easy cases" or "relatively harder cases." (*Id.* at 734-738.) Notably, the *Schmoll* decision was in the "relatively easy" category. (*Id.* at 734.)

In finding there were triable issues as to whether ministerial exception applied to the professors in that case, the Court noted that the case law is fairly clear that "teachers of clearly *secular* subjects have . . . been held not to be within the exception, even though incidentally the teacher may have been a member of a religious order," and "purely secular work performed for a religious institution has been held not to come within the ministerial exception." (*Id.* at 738 [italics in original].) The Court elaborated on the latter point: "We might describe this as 'the janitor rule' – as in: there's no question that the cleaning staff do not come within the ministerial exception (except maybe at a traditional monastery, where the cleaning staff *are* the members of the religious order and the cleaning is seen as a very religious work indeed)—though of course it also extends to other sorts of work," citing decisions involving a church receptionist, a pastor's secretary, and a director of plant operations at a hospital with a religious affiliation. (*Id.* [italics in original].) Applying the case law to the professors in that case, the Court relied on the principles of summary judgment that "disputes of fact are decided in favor of the *non*moving party," that psychology is not necessarily a religious subject and that their classes on marriage and family counseling were not necessarily religious. (*Id.* at 738-739.) As a result, the moving party had not demonstrated as a matter of law that the ministerial exception applied to the plaintiffs and barred their discrimination claims.

Defendant cites *Catholic Charities of Sacramento, Inc. v. Superior Court* (2004) 32 Cal.4th 527. That case is inapposite; it did not address the application of the ministerial exception to an employment claim.

C. <u>Undisputed Facts</u>

The motion is supported by Defendant's SS and multiple declarations. The Thomas Declaration addresses the third cause of action, which has been dismissed. (*See* Thomas Decl.; Issue 2 UMFs 50-54.) With the dismissal of the third cause of action, only "Issue 1" in the SS addresses the two causes of action as to which Defendant must establish a complete defense to in order to prevail on its motion for summary judgment. (UMFs 1-49.)

More than half of International Foursquare's UMFs are not disputed by Plaintiff or not disputed on a material point. (UMFs 1-11, 12 [disputed only as to the date she joined the Senior Leadership Team

("SLT")], 13-15, 20, 22, 23 [disputed only as to whether she joined SLT concurrent with promotion], 31, 32, 36, 39, 43, 45-49; Pl. Resp. to UMFs 1-15, 20, 22, 23, 31, 32, 36, 39, 43, 45-49.) International Foursquare operates a church in Danville known as The Rock. (UMF 7; Pl. Resp. to UMF 7.) Since 2012, Mr. Fry has been the Senior Pastor for The Rock. (UMF 10.) Ms. Marhx was hired in May 2017 and given the job title of Finance Director. (UMFs 8, 9.) She was later asked by Pastor Fry to join the SLT, though she disputes that she joined the SLT in 2020 and contends she joined in October 2021, concurrently with her promotion to Director of Finance and Operations. (UMFs 11, 12, 22, and 23; Pl. Resp. to UMFs 11, 12, 22, and 23; Marhx Decl. ¶ 41.)

Plaintiff does not dispute that in her role with The Rock, she oversaw the Finance, Human Resources, Facilities, IT, Events, and Coffee and Hospitality departments. (UMF 24; Pl. Resp. to UMF 24.) She disputes Defendant's characterization of the departments in a parenthetical as "ministries," but cites no evidence to support that dispute in response to that particular UMF. She disputes UMF 25 and other UMFs relevant to whether her role was as a "minister" overseeing "ministries" rather than as a secular employee overseeing the secular functions of the church at The Rock. (*See, e.g.*, UMF 25; Pl. Resp. to UMF 25 [citing, among other evidence, Wong DT 117:2-6 ["when you work at a church, we just label things ministry even though the day-in/day-out, her tasks were functional, not ministerial," referring to Plaintiff's tasks].)

There is no dispute that "pastoral care" involves providing "spiritual, physical, and emotional support." (UMF 20; Pl. Resp. to UMF 20.) The SLT was responsible for "carrying out the vision of the Church" and for decisions affecting the Church, in a manner "aligned with the Church's mission and the will of God." (UMFs 13-15; Pl. Resp. to UMFs 13-15.) There are seven members of the SLT including Pastor Fry and Marhx. Plaintiff held herself out as a leader of the Church to staff and Church members. (UMFs 31, 32; Pl. Resp. to UMFs 31, 32.) Marhx assisted in planning Church retreats and prayed alongside Church members. (UMFs 36, 39; Pl. Resp. to UMFs 36, 39.)

Plaintiff contends that UMFs 33 and 34 are disputed in part. Plaintiff does not deny the general statements that she led staff devotions and led prayer for the prayer room, but she presents evidence that she performed each of those activities only twice in six years of work for The Rock, disputing the implication that these activities were a common part of her responsibilities. (Pl. Resp. to UMFs 33, 34.) Plaintiff also does not dispute that she helped "plan" memorial services and funerals held at the church, which is the language used in UMFs 37 and 38. Rather, she disputes that her assistance was more than logistical or operational. (Pl. Resp. to UMFs 37, 38.) Again, she essentially disputes the implication that her "planning" assistance involved religious aspects of those events.

In February 2023, Plaintiff made a written application to become a licensed minister with International Foursquare. (UMF 43; Pl. Resp. to UMF 43; Fry Decl. ¶ 12 and Exh. A.) Plaintiff does not dispute the content of her licensed minister application, in which she describes feeling "called" in her relationship with her team to pray, to allow time in the prayer room so the staff does not get burned out, and to bring unity to her team by having a monthly team meeting that includes praying, discussing what they are working on, and encouraging one another. (UMFs 45, 46; Pl. Resp. to UMFs 45, 46.) She described her role as Director of Operations and Finance as "hard work" but said doing this "for the Lord as well as [creating] a place so that others come to know Him is amazing." (UMF 47; Pl. Resp. to UMF 47.)

Marhx participated in a decision on the use of the Church "Benevolence" fund for expenses for a relative of Pastor Fry in September 2023. (UMF 48; Pl. Resp. to UMF 48.) She stated in an email that she wanted to make a "wise and prayerful decision" and saw her role as Director of Finance as making a decision "that is God led, God fearing, and God honoring," recognizing the resources the Church had been given were resources "given out of the goodness of hearts who in their own obedience to the Lord who have entrusted us to steward it well." (UMF 49; Pl. Resp. to UMF 49.)

D. Disputed Material Facts and Plaintiff's Additional Material Facts

The Court finds that a number of Defendant's UMFs are genuinely disputed by Plaintiff's opposing evidence and Plaintiff's approximately 78 Additional Material Facts included in her Response to the SS. (*See generally* Pl. Additional Facts ("AFs") 55-133.) Plaintiff has genuinely disputed the characterization of her role and "participation" on the SLT with evidence that she was only put on the SLT to keep her in the information loop regarding Church plans and events material to her role in managing the finances, operations, and facilities of the Church, but that she did not participate in the spiritual vision or direction of the Church. (UMFs 16, 17, 18; Pl. Resp. to UMFs 16, 17, 18.) Rather, Pastor Fry controlled the vision and direction of the Church, the Council's role was not to deal with the vision or direction of the Church, and her role was to execute Pastor Rick's vision in directing operations, facilities, and the financial resources of the Church. (*Id.*)

Plaintiff has also genuinely disputed that as Director of Finance and Operations and a member of the SLT, she was responsible for providing "pastoral care" to the Church members or staff, or that Pastor Fry gave her guidance on how to do so. (UMFs 19, 21, 28-30; Pl. Resp. to UMF 19 [evidence indicating, among other things, that the pastoral care team was for the congregation, not staff, explaining the heads of the pastoral care team "were loving on staff because they were staff, but it wasn't an official duty from that role." (Fry DT 88:13-21); Marhx did not "perform pastoral care" (Wong DT 64:24-25), Executive Pastor Wong "wouldn't classify taking care of your – or loving on your staff as a Christian pastoral care. Pastoral care is very specific. It is primarily for the flock . . . ," and showing love to staff not a directive as part of her title but because she is a good Christian (Wong DT 65:1-12, and 65:23-66:3)], UMFs 21, 28-30; Marhx Decl. ¶¶ 62, 66, 67, 86-92, among others.)

Though certain departments were labeled as "ministries," there is a genuine dispute as to whether the label accurately described the functions Plaintiff performed in carrying out the work of the different departments. (UMFs 25-27; Pl. Resp. to UMFs 25-27.) The evidence also supports a genuine dispute as to whether she "ministered" to staff members. (UMF 35; Pl. Resp. to UMF 35; *see also, e.g.,* Marhx Decl. ¶¶ 88-94.) Plaintiff has genuinely disputed that she gave spiritual advice to members of The Rock (UMF 40) in light of Defendant's definition of pastoral care (UMF 20); Plaintiff's supervisor Pastor Wong in her deposition denied that Plaintiff performed pastoral care. (Pl. Resp. to UMF 40 [citing, among other things Wong DT 64:24-25 and 65:1-12].)

Plaintiff disputes that she was "required to uphold the truth of God's Word" and "ensure that biblical principles guided all of her decisions and actions" at The Rock and in the community. (UMFs 41, 42; Pl. Resp. to UMFs 40, 41.) Among other things, Marhx declares that in performing her job duties, she "used legal compliance standards, professional accounting principles, and operational criteria, not theological judgment" nor did she "apply theological principles or biblical interpretation to any of [her] financial or operational decisions." (Marhx Decl. ¶ 97.)

Plaintiff also includes numerous additional material facts supported by Plaintiff's evidence. In particular, the additional facts include that: (1) she was not hired as or represented to the congregation or staff to be a minister, pastor, or spiritual leader; (2) she was not classified by The Rock as ministerial for purposes of taxes, wage compliance, or benefits; (3) Pastor Fry set the religious vision and direction of The Rock, with some input from Pastor Wong; (4) Plaintiff's job duties were secular, operational and finance duties, and the departments she oversaw were not referred to as ministries; (5) she did not have autonomous decision-making authority over the use of church funds; (6) she did not have hiring or firing authority; (7) Plaintiff was not one of the employees whose job duties included pastoral care for the congregation; (8) she was not required to provide pastoral care to her staff, and when staff needed that care, she referred them to Pastors Fry or Wong; (9) everyone at The Rock, including the janitor, led prayer in the prayer room, but leading prayer was not a requirement of her job; and (10) Plaintiff had no religious training, background, or credentials. (*See* Pl. AFs 56-62, 68, 70-73, 76-85, 87-91, 93, 95, 98, 101, 102, 105-128.) Plaintiff declares that her performance was reviewed based on the adequacy of her performance of financial, human resources, facilities and operational tasks and not based on her faith, any religious criteria, or performance of pastoral care. (Marhx Decl. ¶ 95.)

E. <u>Application of the Case Law to the Record on the Motion</u>

Plaintiff was clearly employed by a religious institution. The determinative issue on the motion is whether International Foursquare has demonstrated <u>as a matter of law</u> that Plaintiff's role with The Rock as its Director of Finance and Operations was a "minister" within the ministerial exception, and that there are <u>no triable issues of fact</u> that Plaintiff's role, job duties and expectations were ministerial, rather than secular. Plaintiff has genuinely disputed a number of the facts relied on by Defendant to prove Plaintiff occupied a ministerial role, which alone can be enough to support a denial of the motion. (*Nazir v. United Airlines, Inc*. (2009) 178 Cal.App.4th 243, 252 ["[I]f a triable issue is raised as to any of the facts in your separate statement, the motion must be denied! [Citations, internal quotation marks omitted.]"] and *Insalaco v. Hope Lutheran Church of West Contra Costa County* (2020) 49 Cal.App.5th 506, 521 [holding that a party moving for summary judgment who relies on facts that it designated undisputed to argue in its favor on summary judgment cannot then deem those same facts immaterial when they are disputed by the opposing party].)

In its reply, even if the Court considered the untimely arguments, International Foursquare argues that Plaintiff is asking the Court to consider "inconsequential factors" such as Plaintiff's training and title (Reply p. 2, l. 27), but the case law is clear that there is no rigid set of factors that are determinative in every case. The reply suggests that Plaintiff participating in the SLT and considering herself a "leader" of the church are the determinative factors. (Reply pp. 3-5.) But the terms "participate" and "leader" as demonstrated by the conflicting evidence before the Court do not have a definitive meaning unrelated to the factual context in which they are used.

Defendant contends Plaintiff "participated" in SLT meetings, but Plaintiff has presented evidence that her "participation" consisted of being present for the meetings purely for purposes of obtaining information regarding events and activities the church was planning, under Pastor Fry's religious and spiritual direction, so that in her roles as director of operations, facilities, and finance should could execute those plans. (*See, e.g.,* Marhx Decl. ¶¶ 14, 18, 24, 29, 31, 34, 35, 38-41, 54-55 [others on the SLT "brainstormed about the direction of the church, including events, spending, improvements, church teaching, and more but Plaintiff "did not participate in these discussions, but offered operational information when [she] was asked in order to determine whether certain directions could be followed" based on budget and operational capacity and staffing concerns], 57-67 [among other things, showing that Plaintiff was not classified as a ministerial employee under The Rock's criteria]; Pl. Resp. to UMFs 16-19, 21, 23-30, 35, 37, 38, 40, 42; Pl. AFs 56, 57, 62-66, 68-75, 88-95, 100, 105-110, 112, 118-125.)

As to her role as a "leader" of the church, among other evidence, Plaintiff has attached her website bio from The Rock's website describing her "leadership" role with the church. (Marhx Decl. ¶¶ 9, 10 and Exh. 1.) Her title as a "director" suggests a "leader," but the description of her role makes no reference to any leadership role with respect to the spiritual, religious, or pastoral function of the church. (Marhx Decl. ¶ 10 and Exh. 1 ["As director of Finance and Operations, Denea oversees our finance, personnel, facility and IT teams. She manages the budget and provides oversight of The Rock's finances along with our church council."] and Marhx Decl. ¶ 42 and Exh. 3 [describing job duties of director of finance as including "Work[ing] with Executive Pastor, and <u>ministry Pastors/Leaders</u> to prepare an annual budget for approval by the Senior Pastor and Church Council, and implements it upon approval," supporting an inference that <u>others</u> at the church are the ministry leaders, but not the person in this position].) While International Foursquare contends the evidence regarding her leadership role supports the ministerial exception, Plaintiff's contrary evidence regarding her leadership role as Director of Finance and Operations being a secular role supports that there are triable issues of fact that cannot be resolved by summary judgment.

The Court is aware that the job description attached as Exhibit 3 to the Marhx Declaration includes some references that could support Plaintiff being deemed subject to the ministerial exception: "The Finance Director at East Bay Fellowship works directly with the Senior and Executive Pastor's in decision making and managing the business affairs of the church and working with staff to achieve the church's mission objectives. Daily involvement in accounting, HR, and office/facility administration is expected. The church office is the hub of communication and requires efficient clerical office management and improvements in day-to-day operations. It is a ministry of the church; the person in this position will be extending the ministry of The Rock to our employees, our members, and the surrounding community; and is responsible for answering questions related to all financial policies of the Church, including issues related to charitable contributions. In all of their actions, they should be positive and supportive of the Core Values and the Vision of the church." (Marhx Decl. ¶ 42 and Exh. 3.) The Court considers the description in light of all the conflicting evidence before the Court regarding Plaintiff's role with The Rock, as summarized in detail above. While The Rock may consider the church office to be a "ministry" of the church, Pastor Wong's deposition testimony explains the expansive use of the label "ministry" in church language, supporting an alternative meaning of the term that does not support application of the ministerial exception here. (*See, e.g.,* Pl. Resp. to UMF 25 [citing, among other evidence, Wong DT 117:2-6 ["when you work at a church, we just label things ministry even though the day-in/day-out, her tasks were functional, not ministerial," referring to Plaintiff's tasks]; Marhx Decl. ¶¶ 61-67 [Plaintiff not classified as a ministerial employee under The Rock's classification criteria].)

The record demonstrates that there is a genuine dispute and triable issues as to whether Plaintiff's position at The Rock qualifies under the ministerial exception to bar her claims. The determination under the case law is not subject to a rigid test but is evaluated under the totality of the facts concerning the employee's position, job title, job duties, and performance expectations, among other factors. (*Hosanna-Tabor, supra,* 565 U.S. at 190, 192; *Our Lady of Guadalupe, supra,* 591 U.S. at 753-754, 758.) On summary judgment, the Court is obligated to decide factual disputes in favor of the nonmoving party. (*Hope International, supra,* 119 Cal.App.4th at 738.) Here, Plaintiff has presented a substantial factual and evidentiary record in opposition to the motion showing that Plaintiff's job duties and expectations were primarily, if not entirely, secular, and that her performance was reviewed based on secular criteria in managing The Rock's finances, physical operations, event planning, and human resources issues from a legal, tax, and accounting compliance standpoint. The evidence is in conflict and supports conflicting inferences as to whether Plaintiff's role was "ministerial" so as to make the exception applicable.

Conclusion and Ruling

Defendant's motion is based solely on its attempt to classify Plaintiff, as a matter of law, as an employee within the ministerial exception. (*Hope International, supra*, 119 Cal.App.4th at 738; *Atkins, supra,* 90 Cal.App.5th at 1345.) (*See also Su v. Stephen S. Wise Temple* (2019) 32 Cal. App. 5th 1159, 1169-1170.) The record does not support such a determination as a matter of law under the flexible, nonexclusive factors described in the leading United States Supreme Court's decisions as applied in the California case law.

The record also does not show as a matter of law that the Court reviewing Plaintiff's claims for retaliation and wrongful termination will require the Court to wade into religious or doctrinal matters involving the church, ecclesiastical or biblical issues, which might interfere with International Foursquare's religious freedom and autonomy in religious matters. Defendant did not submit UMFs or argument that Defendant terminated Plaintiff from her position with The Rock on religious grounds or for violation of The Rock's religious tenets. (*See, e.g., Sumner v. Simpson University* (2018) 27 Cal. App. 5th 577, 593-594 [holding Court determining breach of employment contract claim for termination of employee not barred by the ministerial exception "because review of the breach of contract claim does not require a review of Sumner's religious qualification or performance as a religious leader"].)

The motion is **DENIED.**

Plaintiff's Evidentiary Objections

Plaintiff filed evidentiary objections to Mr. Fry's declaration. The Court is only required to rule on those objections the Court finds are material to its ruling. (Code Civ. Proc. § 437c(q).) The Court does not find the objections material to the outcome of the motion, given the Court's ruling that triable issues exist based on the evidence, precluding summary judgment.

5. 9:00 AM CASE NUMBER: C24-01921
CASE NAME: A-S PIPELINES INC., A CALIFORNIA CORPORATION VS. GOLD COAST PIPELINES, INC. A CALIFORNIA CORPORATION
***HEARING ON MOTION IN RE: SEAL**
FILED BY: DAVID T. SEENO
****TENTATIVE RULING:****

The hearing is ordered **OFF-CALENDAR**, as this motion to seal was granted by stipulation of the parties and the Court's Order signed July 23, 2026.

6. 9:00 AM CASE NUMBER: C24-01921
CASE NAME: A-S PIPELINES INC., A CALIFORNIA CORPORATION VS. GOLD COAST PIPELINES, INC. A CALIFORNIA CORPORATION
HEARING ON DEMURRER TO: CROSS COMPLAINT
FILED BY: DAVID T. SEENO
****TENTATIVE RULING:****

Before the Court is David T. Seeno ("Cross-Defendant")'s demurrer to Albert D. Seeno, Jr. ("Cross-Complainant")'s Cross-Complaint for unjust enrichment and promissory fraud.

Cross-Defendant demurs on several grounds, including that the probate court has exclusive jurisdiction over trust administration and termination disputes.

For the following reasons, the Court on its own motion transfers this matter to the Probate Division of this Court. Cross-Defendant can thereafter reschedule this demurrer (and concurrent motion to strike) for hearing in the Probate Division. In the event the Probate Division finds this transfer was made in error, it may transfer this action back to this Department as it sees fit.

Request for Judicial Notice

Cross-Defendant requests judicial notice of several pleadings and orders in P24-00908 In re Albert D. Seeno, Jr. and Sandra L. Seeno PCI Trust for David T. Seeno. Cross-Complainant objects to this request on several grounds. Those objections are **OVERRULED**. However, "[w]hile [the Court] may take judicial notice of court records and official acts of state agencies (Evid. Code, § 452, subds.(c), (d)), the truth of matters asserted in such documents is not subject to judicial notice." (*Arce v. Kaiser Foundation Health Plan, Inc*. (2010) 181 Cal.App.4th 471, 482.) "A court may take judicial notice of the existence of each document in a court file, but can only take judicial notice of the truth of facts asserted in documents such as orders, findings of fact and conclusions of law, and judgments. [Citations.]" (*Garcia v. Sterling* (1985) 176 Cal.App.3d 17, 22.) Subject to those limitations, the request is **GRANTED**.

Legal Standard

"The function of a demurrer is to test the sufficiency of the complaint as a matter of law." (*Holiday Matinee, Inc. v. Rambus, Inc*. (2004) 118 Cal.App.4th 1413, 1420.) A complaint "is sufficient if it alleges ultimate rather than evidentiary facts" (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550 ("*Doe*")), but the plaintiff must set forth the essential facts of his or her case "with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent" of the plaintiff's claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) Legal conclusions are insufficient. (*Id*. at 1098–1099; *Doe* at 551, fn. 5.) The

Court "assume[s] the truth of the allegations in the complaint, but do[es] not assume the truth of contentions, deductions, or conclusions of law." (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.)

Analysis

Cross-Defendant argues as a threshold issue that the probate court has exclusive jurisdiction over trust administration and termination disputes and the Cross-Complaint therefore fails to state a cognizable civil cause of action. Specifically, Cross-Defendant argues that Cross-Complainant's claims "rise entirely from alleged misconduct in the structure, duration, and tax consequences of the Trust—specifically, that the Trust should have terminated earlier, that tax burdens were improperly allocated during Trust administration, and that gaming-licensure conditions prevented termination." (Dem. at 11:9-12.) The Cross-Defendant further argues that those same issues are pending before the Probate Court in the PCI Trust Action "which seeks relief concerning Trustee conduct, Trust administration, and judicial oversight of the Trust." (*Id*. at 11:26-28.)

In opposition, Cross-Complainant argues that the Probate Court does not have exclusive jurisdiction "over claims which are personal to Mr. Seeno, who is neither a trustee nor a beneficiary, and which arise from David's actions, not trust administration." (Opp. at § III(B)(1).)

However, when the Court examines the relief requested in this case and in the pending probate action, it is clear that they implicate questions of Trust construction and interpretation. For example, the Cross-Complaint alleges that the trust is an "intentionally defective grantor trust" which obligates the trustor for the payment of income taxes on any income generated by the trust assets once transferred to the trust and that the beneficiary receives the trust's income periodically but does not have to pay income taxes on that income. (See XC at ¶¶ 16, 18.) The Cross-Complaint also alleges that "the Trust was established and would operate consistent with the Nevada Gaming Control Act and the regulations of the Nevada Gaming Commission promulgated under the Nevada Gaming Control Act." (*Id*. at ¶ 22.) The Cross-Complaint further alleges that "[b]y the Trust's plain terms, the Trust was to termination in or around January 2015. [¶] Doing so, however, required David to become properly licensed by the Nevada Gaming Authorities so that the Trust's trustee could transfer the Trust's ownership interests in PCI and WCI directly to him." (*Id*. at ¶¶ 25, 26.) The gravamen of the Cross-Complaint's unjust enrichment claim is Cross-Complainant's contention that Cross-Defendant "intentionally delayed applying for the requisite gaming license so to continue to saddle his parents with the income tax exposure associated with the Gaming Interests." (*Id*. at ¶ 36.) Similarly, the Cross-Complaint's promissory fraud claim alleges that Cross-Complainant "did not intend to undertake the efforts to qualify for or make any timely efforts to obtain the required gaming license during the Trust's term or thereafter until faced with the fact that Mr. and Mrs. Seeno planned to substitute other assets for the Casino Interests, and only then applied for the required licensure, thereby revealing his intentional scheme to continue to require his parents to shoulder David's income tax liability." (*Id*. at ¶ 43.)

These allegations all implicate the terms and obligations of the Trust, which is already the subject of an action in the Probate Division of this Court which predates the filing of the instant Cross-Complaint by several years. (See Yu Decl. at ¶ 2, Ex. 1 [Petition for Relief from Breach of Trust and for Removal of Trustee, Contra Costa County Superior Court case no. P24-00908, filed on October 29, 2024].)

Furthermore, the authorities cited by Cross-Defendant also support the conclusion that the Cross-Complaint should be heard by the Probate Division.

For example, in *Cabral v. Soares* (2007) 157 Cal.App.4th 1234, the appellate court held that the trial court correctly sustained a demurrer to an ex-wife's suit alleging that her ex-husband conspired with his sister and their mother to cut the ex-husband out of the mother's will so that the ex-wife would not be able to reach property otherwise destined for the ex-husband, because the suit was either an attack on the validity of deceased mother's will or an attempt to seek distribution of the mother's estate in contradiction of terms of the will. (*Id*. at pp. 1239-1240.) Either way it should have been the subject of a probate claim.

Additionally, in *Saks v. Damon Raike & Co*. (1992) 7 Cal.App.4th 419 the trust beneficiaries sued a real estate broker and an attorney who had provided services to the trust, contending that they had breached duties of care and fiduciary duties to the trust by failing to disclose certain material information about a property transaction in which they had represented the trust. (*Id*. at p. 423.) The complaint also alleged that the attorney had acted improperly in advising the beneficiaries (who previously had been trustees) to resign as trustees, leaving Sumitomo Bank as the sole trustee. (*Id*. at p. 424.) The trial court sustained the defendants' demurrers to the complaint and the court of appeal affirmed. The Court of Appeal held that the beneficiaries' "only proper course was to proceed against the trustee in the probate department, seeking either to compel [the trustee] to proceed against [the third party tortfeasors], or to remove it and to appoint a trustee ad litem to sue the third parties." (*Id*. at p. 430.)

While Cross-Complainant argues in opposition that these authorities are inapplicable because he is neither a beneficiary or a trustee, he is, however, one of the Settlors of the Trust in question. Furthermore, he has actively participated in the Probate action concerning the same Trust. The Court is not aware of a procedural bar that would preclude his seeking the relief of the Cross-Complaint (damages in the form of tax liability as a consequence of Cross-Defendant's alleged deliberate failure to obtain the required gaming license for transfer of the Trust's assets to his individual Trust) in the Probate action. Indeed, the pleadings and orders in that case suggest that he is seeking similar relief there.

<u>Conclusion</u>

Although Cross-Defendant requests dismissal of the Cross-Complaint (Dem. at 10:17-18), the Court finds that transfer, not dismissal, is the proper procedure. There is no separate probate court in California; rather, probate jurisdiction is vested in the Superior Court, and the probate department simply is the Superior Court sitting in probate. (See generally *Glade v. Glade* (1995) 38 Cal.App.4th 1441, 1449 ("Even though a superior court is divided into branches or departments, pursuant to California Constitution, article VI, section 4, there is only one superior court in a county and jurisdiction is therefore vested in that court, not in any particular judge or department. Whether sitting separately or together, the judges hold but one and the same court."); see also e.g. *People v. Superior Court of San Bernardino County* (1930) 104 Cal.App.276, 281 ("The juvenile court is itself a superior court, although acting in a particular class of cases, and has an inherent power to transfer a case to another department of the same court, when the limits of its special powers are reached.").)

In a footnote in *Saks*, the Court of Appeal expressly noted the assigned court had the authority to transfer the civil action to the probate department. (*Saks*, *supra*, at p. 430 n.8 ("Although the parties do not address this point, we note that the trial court could have, on its own motion, transferred this action to the probate department under Code of Civil Procedure section 396, rather than dismissing it.").)

Consequently, this Court transfers the Cross-Complaint to the probate division.

7. 9:00 AM CASE NUMBER: C24-01921
CASE NAME: A-S PIPELINES INC., A CALIFORNIA CORPORATION VS. GOLD COAST PIPELINES, INC. A CALIFORNIA CORPORATION
***HEARING ON MOTION IN RE: STRIKE PUNITIVE DAMAGES CLAIMS**
FILED BY: DAVID T. SEENO
****TENTATIVE RULING:****

See Line 6.

8. 9:00 AM CASE NUMBER: C24-01921
CASE NAME: A-S PIPELINES INC., A CALIFORNIA CORPORATION VS. GOLD COAST PIPELINES, INC. A CALIFORNIA CORPORATION
HEARING ON DEMURRER TO: 2ND AMENDED COMPLAINT OF DAVID T. SEENO
FILED BY:
****TENTATIVE RULING:****

Before the Court is Defendant Norsan Financial & Leasing (“Norsan” or “Defendant”)’s Demurrer. The Demurrer relates to Plaintiff David T. Seeno (“DTS”), the David T. Seeno Revocable Trust Dated July 12, 2016 (“DTS Trust”), and Lionheart Homes, Inc. (“Lionheart”) (collectively, “Plaintiffs”) second amended complaint for (1) Breach of Contract against Alsan, (2) Conversion against Norsan, (3) Breach of Contract against Norsan, (4) Promissory Estoppel against Norsan, (5) Common Count against Norsan, and (6) Negligent Misrepresentation against Norsan.

Defendant demurs to all Plaintiff’s causes of action pursuant to Code of Civil Procedure § 430.10 on several grounds.

For the following reasons, the Demurrer is **SUSTAINED-IN-PART** with respect to the breach of contract claim (without leave to amend) and otherwise **OVERRULED**.

Legal Standard

“The function of a demurrer is to test the sufficiency of the complaint as a matter of law.” (*Holiday Matinee, Inc. v. Rambus, Inc*. (2004) 118 Cal.App.4th 1413, 1420.) A complaint “is sufficient if it alleges ultimate rather than evidentiary facts” (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550 (“*Doe*”)), but the plaintiff must set forth the essential facts of his or her case “with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent” of the plaintiff’s claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) Legal conclusions are insufficient. (*Id*. at 1098–1099; *Doe* at 551, fn. 5.) The Court “assume[s] the truth of the allegations in the complaint, but do[es] not assume the truth of contentions, deductions, or conclusions of law.” (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.)

Analysis

This is the third challenge to Plaintiffs’ complaint. Defendant once more argues that because Plaintiffs allege Norsan’s alleged acts occurred in 2018 and 2020 (and the complaint was not filed until November 2024), the causes of action against Norsan are barred by the three-year statute of limitations for conversion and breach of contract and the two-year limitations period for promissory estoppel, common count, and negligent misrepresentation. Defendant also argues that the SAC fails to adequately allege contract formation.

The Court has sustained two previous demurrers on the grounds that Plaintiffs had not alleged facts sufficient to support fraudulent concealment with respect to their time-barred claims, or otherwise alleged breaches within the statute of limitations for their causes of action for conversion, breach of contract, promissory estoppel, common count, and negligent misrepresentation.

In opposition, Plaintiffs also argue for the first time that Norsan waived the statute of limitations. They also argue that their claims did not accrue until July 2024 because they did not suffer injury until then. They further argue that they SAC adequately pleads delayed discovery, fraudulent concealment, and continuous accrual. Finally, Plaintiffs argue that a contract between the parties is implied by conduct.

As a threshold issue, Plaintiffs' waiver argument lacks merit. Plaintiffs rely on Code of Civil Procedure section 360.5 which allows statutes of limitations generally to be waived by written agreement. Critically in this case, however, the SAC does not allege a written agreement between Defendant and Plaintiffs. Instead, the Plaintiffs allege "a course of dealing between the parties regarding their financial relationship" (SAC at ¶ 31) and that "the Norsan 'Loan' contains the same substantive provisions as the [written] Alsan Note" (*id*. at ¶ 48). Section 360.5 provides that "No waiver shall bar a defense to any action that the action was not commenced within the time limited by this title unless the waiver is *in writing and signed by the person obligated*." (Code Civ. Proc. § 360.5 [italics added]; see also *Butt v. Burkett* (1937) 18 Cal.App.2d 612, 614 [to take case out of statute of limitations, acknowledgement of debt or promise to pay on account must be in writing and signed]; Code Civ. Proc. § 360.) As a consequence, Plaintiffs' reliance on section 360.5 is misplaced as they do not have a written agreement.

Next, Plaintiffs argue that their causes of action did not accrue until July 2024. (Opp. at § III.) They point to their new allegation that "it was not until Norsan repudiated its debt by failing to respond or pay in July 2024 that Plaintiff first suffered injury from Norsan. Until that point, Norsan's records credited monthly interest to the DTS Trust and Plaintiffs had every expectation that Norsan would pay the principal and interest in full." (SAC at ¶ 47.) On reply, Defendant argues that Plaintiffs' harms occurred in 2018 and 2020 when the alleged 'unilateral conversions' occurred, i.e. when Plaintiffs allege that the shareholder distributions were 'unilaterally' diverted. (Reply at § II(B)(1).)

The Court is inclined to agree with Defendant. The elements of conversion are: (1) the plaintiff's ownership or right to possession of the personal property; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages. (*Welco Electronics, Inc. v. Mora* (2014) 223 Cal.App.4th 202, 208.) Unless the discovery rule applies, "a cause of action accrues at 'the time when the cause of action is complete with all of its elements.' [Citations.]" (*Fox v. Ethicon Endo-Surgery, Inc*. (2005) 35 Cal.4th 797, 806.)

Here, the allegations of the SAC reflect that the elements of conversion accrued in 2018 and 2020, respectively. The SAC alleges that "[o]n or about March 21, 2018, the DTS Trust transferred approximately $8 million in earnings it received as a result of its ownership in one of several S-Corporations jointly owned by members of the Seeno family (the 'Jointly Held Entities' or 'JHEs') to Norsan to pay obligations DTS understood he owed to Norsan through a trust. However, that payment exceeded the amount the trust allegedly owed by approximately $4,236,790." (SAC at ¶ 18.) The SAC further alleges that "ADSJ and his agents assured DTS that his finances were being managed in his best interest. At the time, therefore, DTS was unaware that Norsan had chosen to loan itself $4,236,790 from the DTS Trust." (*Id*. at ¶ 21.)

The SAC also alleges that "[o]n or about September 9, 2020, Steve Lichti, functioning as a finance director for Alsan and Norsan, redirected Jointly Held Entities shareholder distributions in the amount of $3,320,875 from DTS to Norsan, and increased the Norsan 'Loan' by that amount." (SAC at ¶ 33.)

In each case, the elements of conversion were complete in 2018 and 2020, respectively, Plaintiffs allegation that "those damages occurred when Norsan revealed in July 2024 that it was defaulting on the Norsan 'Loan'" (SAC at ¶ 59) is inconsistent with the case law on conversion. "Ordinarily the statute of limitations applying in conversion actions (Code Civ. Proc. § 388, subd. 3 [now subdivision (c)]) begins to run from the date of the conversion even though the injured person is ignorant of his rights." (*Strasberg v. Odyssey Group* (1996) 51 Cal.App.4th 906, 916 [citations omitted].) However, where there has been fraudulent concealment of the facts the statute of limitations does not commence to run until the aggrieved party discovers or ought to have discovered the existence of the cause of action for conversion. (*Id*.)

The doctrine of fraudulent concealment requires Plaintiffs allege supporting facts—i.e. the date of discovery, the manner of discovery, and the justification for the failure to discovery the fraud earlier—with the same particularity as with a cause of action for fraud. (See *Community Cause v. Boatwright* (1981) 124 Cal.App.3d 888, 900-902 [applied to a fraudulent concealment cause of action].) To take advantage of this doctrine " 'the plaintiff must show … the substantive elements of fraud … and … an excuse for late discovery of the facts.' " (*Snapp & Associates Ins. Services, Inc. v. Robertson* (2002) 96 Cal.App.4th 884, 890.)

Plaintiffs argue in opposition that they have sufficiently alleged fraudulent concealment. Specifically, that the date and manner of discovery was July 2024 when Norsan failed to respond to David's formal demand letter for repayment. (Opp. at 12:14-22 [citing SAC ¶¶ 42, 44].) They further argue that their justification for failure to discover the fraud earlier was "Norsan's years-long course of conduct" including sending Plaintiff David T. Seeno "monthly amortization schedules documenting the debt and its terms, apparently prepared by its corporate controller, Kim Penitenti." (*Id*. at 12:24-27 [citing SAC at ¶¶ 24-27].)

Plaintiffs' fraudulent concealment theory depends on a characterization of the 2018 and 2020 conversions as loans of which Plaintiff David T. Seeno was ignorant of until he "assumed control and management of his financial records in April 2020 through at least February 2023." (SAC at ¶ 28.) However, the SAC's characterization of the transaction as a "unilateral" decision by Norsan "to treat the $4,236,790 overpayment as a loan" (SAC at ¶ 20) (which was later increased by the September 9, 2020 transfer an additional $3,320,875 (SAC at ¶ 33)) is inconstant with basic principles of contract formation. (See *Weddington Productions, Inc. v. Flick* (1998) 60 Cal.App.4th 793, 811 ["An essential element of any contract is 'consent.' The 'consent' must be 'mutual.' Consent is not mutual unless the parties all agree upon the same thing in the same sense."] [internal citations omitted].) As a consequence, while these allegations support fraudulent concealment, they cannot also state a claim for breach of contract.

Therefore, Plaintiff has failed to allege facts sufficient to state a claim for breach of contract. The demurrer to that cause of action is **SUSTAINED**, without leave to amend. However, the Second Amended Complaint adequately alleges fraudulent concealment. Consequently, the demurrer on the grounds that Plaintiff's claims are barred by their respective statutes of limitations is **OVERRULED**.

9. 9:00 AM CASE NUMBER: C24-01921
CASE NAME: A-S PIPELINES INC., A CALIFORNIA CORPORATION VS. GOLD COAST PIPELINES, INC. A CALIFORNIA CORPORATION
***HEARING ON MOTION IN RE: SEAL**
FILED BY: DAVID T. SEENO
****TENTATIVE RULING:****

The hearing is ordered **OFF-CALENDAR**, as this motion to seal was granted by stipulation of the parties and the Court's Order signed July 23, 2026.

10. 9:00 AM CASE NUMBER: C25-00070
CASE NAME: GARO KEADJIAN VS. ALICA PURCELL
HEARING ON SUMMARY MOTION MSJ
FILED BY: PRZYLUSKA, GINA
****TENTATIVE RULING:****

WITHDRAWN by Notice of Withdrawal filed July 21, 2026.

11. 9:00 AM CASE NUMBER: C25-02482
CASE NAME: ALISE MALIKYAR VS. MICHELE BARBARA
***HEARING ON MOTION IN RE: DISQUALIFY COUNSEL MOTION FILED**
FILED BY:
****TENTATIVE RULING:****

On November 12, 2025, defendant Robert Jacobsen ("Defendant Jacobsen") filed a motion order disqualifying Geoffrey Wm. Steele ("Mr. Steele") and the Steele Law Group, Inc. (collectively, "Plaintiffs' Counsel") from serving as counsel for plaintiffs herein (the "Motion to Disqualify Counsel"). The Motion to Disqualify Counsel was set for hearing on June 8, 2026 pursuant to the Court's Order issued January 29, 2026.

The matter was called for hearing on June 8, 2026. See Minute Order dated June 9, 2026. The Court heard initial arguments and directed that the parties submit further hearing, in particular to address the impact of a referenced prior court ruling which the opposing party argued had disposed of the disqualification issue and/or should inform the Court's ruling on the pending motion. Further Opposition was to be filed by July 6, 2026 and any further Reply by July 20, 2026. The parties were admonished that the further briefing should be limited to five (5) pages.

Notwithstanding the continuance and the Court's direction, no further papers appear to have been filed by any party.

<u>Background</u>

Defendant Jacobsen contends that Mr. Steele received confidential information material to this dispute and his continued representation of plaintiffs creates an impermissible conflict of interest.

Defendant Jacobsen asserts that Mr. Steele represented him in a federal case involving the Tice Valley Property that is the subject of this litigation and received information "about Mr. Jacobsen's position, financial background, and litigation objectives concerning the Tice Valley Property and related trust disputes." See Motion to Disqualify Counsel, p. 4 *et seq*.

Defendant Jacobsen filed a Request for Judicial Notice regarding certain portions of the California Rules of Professional Conduct (the "RJN"). The RJN is **GRANTED**.

<u>Analysis</u>

A court's authority to disqualify a lawyer in a pending proceeding derives from its inherent power to regulate the conduct of court officers, including attorneys, in furtherance of the sound administration of justice. *City of San Diego v. Superior Court* (2018) 30 Cal.App.5th 457, 469. Disqualification, however, is "a drastic remedy that should be ordered only where the violation of the privilege or other misconduct has a 'substantial continuing effect on future judicial proceedings.'" *Id*. at 462 quoting *Gregori v. Bank of America* (1989) 207 Cal.App.3d 291, 309.

Ultimately, disqualification motions involve a conflict between the clients' right to counsel of their choice and the need to maintain ethical standards of professional responsibility. *People ex rel. Dept. of Corporations v. SpeeDee Oil Change Systems, Inc.* (1999) 20 Cal.4th 1135, 1145. "The paramount concern must be to preserve public trust in the scrupulous administration of justice and the integrity of the bar. The important right to counsel of one's choice must yield to ethical considerations that affect the fundamental principles of our judicial process." *Id*.

On June 1, 2026, a "Minute Order of April 1, 2026 Denying Motion to Disqualify Attorney Geoffrey Steele & Findings of Fact" was filed herein. The paper attaches a minute reflecting proceedings in Case No. MSD20-03656 before Judge Lee (Department 25).

The Minute Order makes reference to an apparent denial of "Respondent's Motion for Disqualification of Counsel for Attorney Paula Grohs and Attorney Geoffrey Steele."

As noted previously, no opposition papers have been filed articulating the particulars regarding the relationship, if any, of this matter to MSD20-03656 and why or how any determination of the disqualification in such matter (the "Prior Ruling") is determinative of the pending motion in this case. Despite giving the parties a further briefing opportunity, no further papers have been submitted addressing such matters further.

The Court cannot conclude on this record that the Prior Ruling disposes of the issue as raised in present motion.

In any event, the matter is now moot. On July 17, 2026, Plaintiffs filed a request for dismissal of Defendant Jacobsen, which was entered by the Court on that date. Given the dismissal of the moving party, the motion must be dropped from calendar.

<u>Disposition</u>

The Court further finds and orders as follows:

1. The Motion to Disqualify Counsel is **DROPPED FROM CALENDAR** as moot.

12. 9:00 AM CASE NUMBER: C25-03200
CASE NAME: DEMANUEL GROSSE, SR. VS. THE PORTIA BELL HUME CENTER
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: THE PORTIA BELL HUME CENTER
****TENTATIVE RULING:****

Defendant THE PORTIA BELL HUME CENTER filed a Demurrer on February 26, 2026 to the Complaint filed October 30, 2025 by plaintiff. The Demurrer was set for hearing on July 27, 2026. A First Amended Complaint was filed on May 18, 2026. When a plaintiff files an amended complaint in response to a demurrer before the hearing on the demurrer, that hearing should be taken off calendar because the amended complaint supersedes the complaint to which the demurrer was directed. See CJER, *California Judges Benchbook: Civil Proceedings—Before Trial* (2026) ("CJER Civ. Pro.—Before Trial"), § 12.11. Defendant's Demurrer is ordered OFF CALENDAR as moot.

13. 9:00 AM CASE NUMBER: C26-00053
CASE NAME: JONATHON HEPBURN VS. CONTRA COSTA FARMS, LLC
***MOTION/PETITION TO COMPEL ARBITRATION**
FILED BY: CONTRA COSTA FARMS, LLC
****TENTATIVE RULING:****
Introduction

Defendant Contra Costa Farms, LLC ("Defendants") filed a Motion to Compel Arbitration seeking an order compelling plaintiff Jonathan Hepburn ("Plaintiff") to arbitrate all claims asserted in this action pursuant to the binding Arbitration Agreement executed in connection with Plaintiff's employment with Defendant from approximately September 2023 through July 2024.

The Motion relates to Plaintiff's Complaint for (1) Race Discrimination in Violation of the Fair Employment and Housing Act ("FEHA"); (2) Retaliation in Violation of the FEHA; (3) Failure to Prevent Discrimination, Harassment, and Retaliation in Violation of the FEHA; 4) Whistleblower Retaliation in Violation of Cal. Lab. Code § 1102.5; and (5) Wrongful Termination in Violation of Public Policy.

For the reasons articulated below, the Motion to Compel Arbitration is **DENIED**.

Relevant Facts

Plaintiff was employed with Defendant from September 1, 2023, until his termination on July 3, 2024. (Hepburn Decl. ¶2.)

Plaintiff generally states that he was employed by the entity Contra Costa Farms, LLC, not "CoCo Farms LLC" or "CCF." (Hepburn Decl. ¶3.) The Court notes that the Severance Agreement defines Contra Costa Farms, LLC as "Employer" or "CCF" in the second line of the Severance and Release Agreement.

(Hepburn Decl. Ex. 4, p. 1.)

Plaintiff described a hurried onboarding process of signing documents through an employee management application named Wurk that took place on August 31, 2023. (Hepburn Decl. ¶ 9.) Plaintiff states that he had no legal training, no background in contract law, and no prior experience evaluating the terms or legal implications of binding arbitration agreements. (Hepburn Decl. ¶ 8.) Plaintiff understood that Defendant would not allow him to start his position and start earning wages without signing all the documents. Defendant did not explain the Arbitration Agreement to him, advise him that the Arbitration Agreement was optional, allow him to seek an attorney nor was he provided with a copy of the JAMS Employment Arbitration Rules and Procedures. (Hepburn Decl. ¶¶ 12-15.) Plaintiff states that he completed the documents that were part of the mandatory onboarding process but does not remember signing an Arbitration Agreement. (Hepburn Decl. ¶¶ 10,16.)

Legal Standard for Motions to Compel Arbitration

A motion to compel arbitration "is in essence a suit in equity to compel specific performance of a contract." (*Duffens v. Valenti* (2008) 161 Cal.App.4th 434, 443.) "A party who files a motion to compel arbitration 'bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense." (*Alvarez v. Altamed Health Services Corp.* (2021) 60 Cal.App.5th 572, 580 quoting *Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.) Whether or not the arbitration clause is governed by federal law, the threshold issue of whether a valid and enforceable agreement to arbitrate exists is determined under California law and procedures. (*Rosenthal v. Great Western Fin. Securities Corp*. (1996) 14 Cal.4th 394, 413.)

In California, "[a] strong public policy favors the arbitration of disputes, and doubts should be resolved in favor of deferring to arbitration proceedings." (*Laswell v. AG Seal Beach, LLC* (2010) 189 Cal.App.4th 1399, 1404-1405 [citation omitted].) "A trial court is required to order a dispute to arbitration when the party seeking to compel arbitration proves the existence of a valid arbitration agreement covering the dispute." (Id. [citation omitted]; Cal. Civ. Code Proc. § 1281.2.) As a result of this public policy, "a heavy presumption weighs the scales in favor of arbitrability…." (*Cione v. Foresters Equity Servs., Inc.* (1997) 58 Cal.App.4th 625, 642 [citation omitted].)

Analysis

Objections

The Court has considered and **OVERRULES** Objection Nos. 1 through 9 to the Declaration of Declaration of Kelly Marti as set forth in the Objections filed July 14, 2026.

Defendant's Initial Burden

Parties moving to compel arbitration "may meet their initial burden to show an agreement to arbitrate by attaching a copy of the arbitration agreement purportedly bearing the opposing party's signature." (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.)

Defendant provides an electronically signed copy of the Arbitration Agreement. (Marti Decl., Ex. 2.) As such, Defendant has met its initial burden to establish the existence of an Arbitration Agreement. Accordingly, the burden now shifts to Plaintiff to present facts showing why it should not be enforced.

Absence of Defendant's Signature

It is undisputed Defendant did not sign the agreement. Defendant nevertheless contends its assent should be presumed because it drafted the agreement, presented the agreement to Plaintiff through onboarding, and moves to enforce the agreement. (Reply pp. 5-6.) Defendant is correct that the absence of the employer's signature is not always dispositive. (*Cruise v. Kroger Co*. (2015) 233 Cal.App.4th 390, 397–398.) But here, the plain language of the agreement contemplated Defendant's signature to form an agreement to arbitrate, and none was ever provided.

The agreement's terms clearly state Defendant's signature is necessary to form an agreement to arbitrate: " In consideration for signing this Agreement, and the performance of the terms herein, you and CCF (collectively, the "Parties") hereby agree." (Marti Decl. Ex. 2. p. 1, Introductory section.) The signature requirement is repeated again under the Arbitrator heading: " By signing this Agreement, the Parties agree any arbitration shall be conducted before one neutral arbitrator selected by the Parties under the then applicable JAMS Employment Arbitration Rules & Procedures (the "JAMS Rules") then in effect." (Marti Decl. Ex. 2. p. 1, section 2.) Since Defendant did not sign the agreement per its unambiguous terms, the parties never formed an agreement to arbitrate.

The court in *Marcus & Millichap Real Estate Investment Brokerage Co. v. Hock Investment Co.* (1998) 68 Cal.App.4th 83, 80 similarly held signatures are required to form an agreement to arbitrate when the language of the agreement imposes that requirement. In *Marcus*, the agreement stated in part: "'By initializing in the space below you are agreeing to have any dispute arising out of the matters included in the "Arbitration of Disputes" provision decided by neutral arbitration . . . .'" (*Id.* at p. 86.) Although the buyers initialed the provision, the sellers did not. (*Id.*) The *Marcus* court thus concluded that "the contract contemplated that the arbitration of disputes provision would be effective only if both buyers and sellers assented to that provision by initialing it [and] [s]ince the sellers did not initial that provision, it did not become effective." (*Id.* at p. 92.)

The cases relied on by Defendant in their reply papers, in which courts have enforced arbitration agreements that were not countersigned by the employer, are easily distinguishable. (See *Serafin v. Balco Properties Ltd., LLC* (2015) 235 Cal.App.4th 165, 185; *Cruise v. Kroger Co.* (2015) 233 Cal.App.4th 390.) Critically, neither case involved arbitration agreements indicating a signature from both parties is necessary to form an agreement. For example, in *Serafin, supra*, 235 Cal.App.4th at p. 171, the agreement stated: "'[I]t is the policy of [the employer] that the disputed matter shall be submitted to binding arbitration under the Rules of the American Arbitration Association applicable to employment disputes. All employees will be required to sign an acknowledgement stating that they understand this policy and will comply with it.'" Because the agreement did not require the employer's signature, the *Serafin* court looked to the presence or absence of evidence of the employer's intent to be bound by the agreement. It then concluded the employer's intent to be bound by the agreement could be inferred because the agreement was drafted by the employer, the agreement was printed on the employer's letterhead, and the employer filed a motion to stay the litigation and compel arbitration. (*Id.* at pp. 176-177.) The Court cannot, as Defendant urges us to do, presume Defendant assented to the agreement when the terms of the agreement specifically call for signatures from both parties and Defendant failed to sign it.

Conclusion

For the reasons analyzed above, the Motion to Compel Arbitration is **DENIED**.

Discovery Law & Motion

14. 9:01 AM CASE NUMBER: C24-02351
CASE NAME: SANDRA HERNANDEZ VS. NFP CORPORATE SERVICES (CA), INC.
***HEARING ON MOTION FOR DISCOVERY COMPEL PLAINTIFFS RESPONSES TO REQUESTS FOR ADMISSION, SET ONE**
FILED BY: NFP CORPORATE SERVICES (CA), INC.
****TENTATIVE RULING:****

Defendant NFP Corporate Services (CA), Inc. ("Defendant") filed a motion to compel responses to requests for admission on December 30, 2025 (the "Motion to Compel"). By the Motion to Compel, Defendant seeks an order compelling plaintiff Sandra Hernandez ("Plaintiff") to make further verified, objection free responses to Requests for Admission, Set One. The Motion to Compel was set for hearing on July 27, 2026.

Background

Defendant served requests for admission ("RFA") on August 25, 2025 with responses due on September 24, 2025. See Declaration of Annalisa Zulueta filed December 30, 2025 ("Zulueta Decl."), ¶¶5-6. Plaintiff responded on September 29, 2025. Zulueta Decl., ¶7 and **Exhibit 8** thereto (the "RFA Response"). The RFA Response primarily contained repeated, substantially similar objections, except for two express denials. *Id*. Defendant's declaration contends the RFA Response was not verified, which is conceded by Plaintiff's opposition. See Zulueta Decl., ¶7; see also Plaintiff's Opposition to Motion to Compel filed July 17, 2026 (the "Opposition"), p. 4.

Defendant describes meet and confer efforts between November 2025 and December 2025 which were unsuccessful. Zulueta Decl., ¶¶12-15 and **Exhibits 9**, **10**, and **11** thereto.

Defendant subsequently filed the Motion to Compel on December 30, 2025. The Proof of Service filed December 30, 2025 reflects service of the Motion to Compel.

Analysis

The primary purpose of RFAs "is to set issues at rest by compelling admission of things that cannot reasonably be controverted." Weil & Brown *et al.*, *Cal. Prac. Guide: Civ. Pro. Before Trial* (The Rutter Group 2025), § 8:1256. RFAs may be used to establish the truth of specified facts, opinions relating to fact, or legal conclusions. Code Civ. Proc. § 2033.010. The response to an RFA must be signed under oath (i.e. verified), unless it contains only objections. *Id*. at § 2033.240(a).

The party propounding the RFA may move for an order compelling further responses if it deems that the responses received are incomplete, evasive, or contain meritless objections. Code Civ. Proc., § 2033.290(a).

Timeliness

Notice of such a motion to compel further responses must be given within 45 days of the service of verified responses. *Id*. at § 2033.290(c) ("Unless notice of this motion is given within 45 days of the service of the verified response, or any supplemental verified response, or any specific later date to which the requesting party and the responding party have agreed in writing, the requesting party waives any right to compel further response to the requests for admission.").

The court in *Golf & Tennis Pro Shop, Inc v. Superior Court* held that unverified *hybrid* responses, those containing both objections and substantive responses, do not start the 45-day period. *Golf & Tennis Pro Shop, Inc v. Superior Court* (2022) 84 Cal.App.5th 127, 136. The court reasoned that hybrid responses must be verified, and therefore the "45-day clock" does not start until they are indeed verified. *Id*.

Here, Plaintiff's RFA Response primarily contained objections. However, that response did also include two substantive denials (as to RFA Nos. 24 and 25). See Zulueta Decl., **Exhibit 8**, p. 3. This makes it a hybrid response falling squarely within the rule of *Golf & Tennis Pro Shop*. As Plaintiff's RFA Response has not been verified, the 45-day clock did not start.

For the above reasons, the Court finds that Defendant's Motion to Compel is timely.

Objections to RFAs

As to the RFAs to which objections were made, Plaintiff's objections consist of substantially similar objections: "Objection. Vague and ambiguous. Unintelligible. Attorney work product." See Separate Statement.

Many of the requests included in the RFA contain the language "Admit that YOU do not have any facts to prove that … " See Separate Statement ISO Motion to Compel filed December 30, 2025 ("Separate Statement").

Arguably, whether a party "has" facts to "prove" something is inherently subjective and unknowable. Nonetheless, requests seeking admissions regarding legal conclusions are permissible under Code of Civil Procedure section 2033.010. The Court reads this phrasing as asking if Plaintiff is "aware of" facts which they believe prove a legal contention.

The objections to the RFAs are addressed further below, in the context of specific RFAs.

RFA No. 1. When a motion to compel has been filed, the burden is on responding party to justify any objections made. *Fairmont Ins. Co. v. Superior Court* (2000) 22 Cal.4th 245, 255. Notwithstanding the argument that the phraseology is vague and ambiguous, the Court does not find that the request for an admission as to whether the responding party has "…any facts to prove that Defendants falsely represented and claimed to be licensed by the State of California to provide financial advisory services and insurance services" is impermissibly vague, ambiguous and/or unintelligible. The responding party can certainly respond based on whether the party is aware of any facts which they believe support the referenced fact/legal contention. The call of the request is not so ambiguous so as to render the request unintelligible and/or preclude an intelligent reply. See CJER, *California Judges Benchbook: Civil Proceedings—Discovery* (2025) ("CJER Civ. Pro.—Discovery"), § 5.5. The stated "Vague and ambiguous," and "Unintelligible" objections are **OVERRULED**. As to the boilerplate "Attorney work product" objection, the objection is **OVERRULED**, without prejudice to the assertion of any such contended privilege as to particular advice, evaluation or other properly protectable attorney work product as relates to any further discovery into such matters. The motion is **GRANTED** as to this RFA and a further response shall be made as ordered below.

RFA Nos. 2-22. For the same reasons discussed above in connection with RFA No. 1, the stated objections are **OVERRULED** and the motion is **GRANTED** as to these RFAs. Further responses shall be made as ordered below.

RFA No. 23. The stated "Vague and ambiguous," and "Unintelligible" objections are **SUSTAINED**. The RFA states "Admit that required Defendants to investigate the INVESTMENT, the parties involved in the INVESTMENT, and the nature of the INVESTMENT." The lead in phrase "[a]dmit that required…" is so grammatically flawed as to render the request unintelligible and/or precludes an intelligent reply. The motion is **DENIED** as to this RFA.

RFA No. 26 and 27. The Court does not find that the call of either of these requests is so ambiguous so as to render the request unintelligible and/or preclude an intelligent reply. The stated "Vague and ambiguous," and "Unintelligible" objections are **OVERRULED**. As to the boilerplate "Attorney work product" objection, the objection is **OVERRULED**, without prejudice to the assertion of any such contended privilege as to particular advice, evaluation or other properly protectable attorney work product as relates to any further discovery into such matters. The motion is **GRANTED** as to these RFAs and further responses shall be made as ordered below.

Sanctions

As relates to sanctions however, in light of the foregoing, the Court concludes that sanctions are not appropriate or justified. See Code Civ. Proc. § 2025.480(j) ("The court shall impose a monetary sanction under Chapter 7 (commencing with Section 2023.010) against any party, person, or attorney who unsuccessfully makes or opposes a motion to compel an answer or production, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust.”).

Disposition

The Court finds and orders as follows:

1. The Motion to Compel is **GRANTED IN PART** and **DENIED IN PART**, as set forth further above.
2. To the extent granted above, Plaintiff shall serve **verified** further amended responses to the subject RFAs **within thirty (30) calendar days** of notice of entry of this order.
3. Any and all sanctions requests are DENIED. However, the Court reserves jurisdiction regarding the consideration and imposition of any and all further sanctions as the Court may deem just and necessary pending compliance with this order.
4. Moving party shall prepare the order after hearing.

15. 9:01 AM CASE NUMBER: C24-02351
CASE NAME: SANDRA HERNANDEZ VS. NFP CORPORATE SERVICES (CA), INC.
***HEARING ON MOTION FOR DISCOVERY QUASH PLAINTIFF'S SUBPOENA TO BANK OF THE WEST**
FILED BY: ZOUZOUNIS, THEODORE
****TENTATIVE RULING:****

Defendant Theodore Zouzounis (“Defendant Zouzounis”) filed a motion to quash on December 31, 2025 (the “Motion to Quash”). By the Motion to Quash, Defendant Zouzounis seeks to quash Plaintiff Sandra Hernandez’ (“Plaintiff”) subpoena to third party Bank of the West, or, alternatively, a protective order. The Motion to Quash was set for hearing on July 27, 2026.

Background

Plaintiff issued a subpoena for testimony and documents to Bank of the West on November 24, 2025 (“the Subpoena”). See Memorandum of Points and Authorities ISO Motion to Quash filed December 31, 2025 (“MPA”), p. 2. The Subpoena seeks the deposition of Bank of the West’s person most knowledgeable (“PMK”). See Declaration of Annalisa Zulueta ISO Motion to Quash filed December 31, 2025 (“Zulueta Decl.”), p. 2 and **Exhibit A** thereto. Additionally, it requests the following records (the “Bank Records Requests”):

PLEASE PRODUCE THE FOLLOWING DOCUMENTS

1. Any applications for Bank of the West presented by Theodore Zouzounis.
2. All accounts records maintained by Bank of the West during the years of 2015 through 2024 for Theodore Zouzounis.
3. All communications between Theodore Zouzounis and Bank of the West for the years 2015 to the end of 2024.

Id.

Defendant Zouzounis describes meet and confer efforts to resolve objections to the Subpoena which were unsuccessful. Zulueta Decl., ¶3 and **Exhibit B** thereto. Defendant Zouzounis subsequently filed the Motion to Quash on December 31, 2025.

The Proof of Service filed December 31, 2025 reflects service of the Motion to Quash on Plaintiff's counsel.

Plaintiff filed an opposition on July 14, 2026.

Analysis

The claims at issue in this case arise from an alleged loan made by Plaintiff to third parties Corbin Blume and Jaguar Energy ("Borrowers"). MPA, p. 2; see Complaint filed September 3, 2024, ¶11. Defendant Zouzounis is a named defendant and is alleged to have been involved with the corporate defendant, NFP Corporate Services (CA), Inc. ("NFP") in soliciting Plaintiff to make the loan. *Id*. at ¶8 *et seq*.

Plaintiff is seeking documents and testimony relating to Defendant Zouzounis' banking history and accounts at Bank of the West, based on records from a Wells Fargo account asserted to be related to Borrowers which it is contended evidences a payment in the amount of $150,000 from Borrowers to Defendant Zouzounis on May 16, 2021. See MPA, p. 2.

Although the moving party makes refence to meet and confer correspondence regarding their "objections relating to the Subpoena," it appears no written objections to the Subpoena were served before the filing of the motion. See Zulueta Decl., ¶¶2-3. Rather, the moving party deponent seeks an order generally quashing or limiting the scope of the Subpoena. See MPA, p. 2.

Defendant Zouzounis contends the Subpoena is overbroad and infringes on his privacy rights.

The California Constitution guarantees a right to privacy. Cal. Const., art. I, § 1. Where the right to privacy is implicated, courts weigh the loss of privacy against the "legitimate and important countervailing interests disclosure serves." *Williams v. Superior Court* (2017) 3 Cal.5th 531, 552 ("*Williams*"). The personal financial records of parties and nonparties implicate the right to privacy. See *Cobb v. Superior Court* (1979) 99 Cal.App.3d 543, 550; *Valley Bank of Nevada v. Superior Court* (1975) 15 Cal.3d 652, 658.

The party asserting a privacy right must establish a legally protected privacy interest, an objectively reasonable expectation of privacy in the given circumstances, and a threatened intrusion that is serious. *Williams*, *supra*, 3 Cal.5th at 552. The party seeking information may raise in response whatever legitimate and important countervailing interests disclosure serves, while the party seeking protection may identify feasible alternatives that serve the same interests or protective measures that would diminish the loss of privacy. *Id*. A court must then balance these competing considerations. *Id*. Obvious invasions of interests fundamental to personal autonomy must be supported by a compelling interest. *Id*.

The moving party has not demonstrated that whatever privacy rights he may have in the subject account(s) should be found to completely bar discovery regarding those account(s) and their use in connection with the alleged wrongful conduct.

Although the moving papers present some argument regarding the nature of the account(s) at issue, no declaration by Defendant Zouzounis or any other person with personal knowledge of those account(s) was offered in support of the motion.

Even assuming the subject account(s) are Defendant Zouzounis' personal bank accounts and that the Subpoena implicates his right of privacy as to his confidential financial affairs reflected in the bank records and information relating to his account(s), those concerns do not outweigh Plaintiff's important countervailing interests with respect to discovery regarding the financial transactions and matters at issue. This is especially true given the evidence of related transactions that has been conceded by Defendant Zouzounis himself. See MPA, p.2 (describing a "payment in the amount of $150,000 from Blume to Defendant on May 16, 2021" shown in the subject bank records) (the "2021 Bank Transaction").

Nonetheless, while the Court is not inclined to quash the Subpoena in its entirety, the Court does conclude, in weighing the competing interests in light of the totality of the circumstances, that it is just and appropriate to limit the scope of the deposition and production of records.

The information put before the Court fails to establish good cause for production of records **to the extent specified** in the Subpoena. The Court notes the Subpoena sought an extraordinarily broad scope of Defendant Zouzounis' financial records going back to January 1, 2015, a date more than six years prior to the subject loan. A request of this breadth implicates the private financial records of Defendant Zouzounis and third parties completely unrelated to this matter. No distinction is made in the request between records or communications relating to the subject transaction versus other, unrelated matters.

According, the Motion to Quash is **DENIED IN PART** to the extent it seeks to quash the Subpoena in its entirety. The Motion to Quash is **GRANTED IN PART**, as follows:

1. Permitted Topics. The subject deposition shall be limited to the 2021 Bank Transaction and any and all other financial transactions reasonably related to or likely to lead to the discovery of admissible evidence regarding the claims at issue (the "Permitted Topics"). The Permitted Topics shall not include banking matters and transactions primarily related to personal, family, or household purposes.

2. Discoverable Bank Records. Bank Records Requests No. 1 is hereby **QUASHED** and no responsive documents shall be produced by the bank custodian/PMK regarding this request. The bank custodian/PMK shall produce records responsive to **Bank Records Requests Nos. 2 and 3** ONLY to the following extent: (a) any and all responsive records related to the 2021 Bank Transaction; and (b) any and all responsive records referencing the Borrowers or plaintiff Sandra Hernandez or any transaction involving them.

The Court has considered and denies the imposition of sanctions. The Court concludes that sanctions are not appropriate or justified. See Code Civ. Proc. § 2025.410(d) ("The court shall impose a monetary sanction under Chapter 7 (commencing with Section 2023.010) against any party, person, or attorney who unsuccessfully makes or opposes a motion to quash a deposition notice, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust."); see also Code Civ. Proc. § 2025.420(h).

Disposition

The Court finds and order as follows:

1. The Motion to Quash is **DENIED IN PART** and **GRANTED IN PART** as set forth further above.
2. Any and all sanction requests are **DENIED**.
3. Moving party to prepare the order after hearing.

16. 9:01 AM CASE NUMBER: C24-02427
CASE NAME: REPUBLIC FLOOR, LLC VS. KARIN FAAPOULI
***HEARING ON MOTION FOR DISCOVERY COMPEL FURTHER DEPOSITION TESTIMONY OF DEF SAMOAN CONGREGATIONAL CHURCH**
FILED BY: REPUBLIC FLOOR, LLC
****TENTATIVE RULING:****

Plaintiff Republic Floor, LLC ("Plaintiff")") filed a motion to compel further deposition testimony and production of documents by defendant Samoan Congregational Church of Jesus Christ in Daly City ("Church Defendant") on March 2, 2026 (the "Motion to Compel Further Deposition"). The Motion to Compel Further Deposition was initially set for hearing on July 20, 2026. The motion was later reset for hearing on July 27, 2026.

Background

Plaintiff served its Amended Notice of Deposition of Person(s) Most Qualified ("PMQ") on December 10, 2025. See Declaration of Sharon Mayer filed March 2, 2026 ("Mayer Decl."), ¶9 and **Exhibit 3** thereto. This notice identified 41 requests for production (the "Requests") and 64 topics of examination ("Topics") as the original Notice. *Id*.

On December 19, 2025, the Church Defendant produced Ms. Ufau, the Church's current Treasurer, as its sole designated PMQ for a remote deposition. *Id*. at ¶11.

Analysis

Plaintiff contends that the Church Defendant failed to produce an adequately prepared person most qualified to competently testify about the Topics and (2) failed to produce documents responsive to the Requests.

The Declaration of Sharon Mayer and the supporting Separate Statement describe the lack of preparation for the deposition by the PMQ and the repeated and extensive failure to provide responsive testimony and documentation. See *id*. at ¶¶11-13; Separate Statement filed March 2, 2026.

Plaintiff engaged in meet and confer efforts and failed this motion when those efforts proved unsuccessful. Mayer Decl., ¶14 *et seq*.

A late, untimely opposition was filed by the Church Defendant on July 23, 2026, including an opposition declaration. Although late, in the exercise of its discretion, the Court has considered these papers. The short opposition does not engage meaningfully with the lengthy recitation of the deficiencies in the testimony and, essentially, concedes the need for further testimony by the PMQ. The opposition objects to the request for substantially sanctions sought.

The Court finds that the Church Defendant, by and through its designated PMQ, failed to adequately answer questions regarding the properly noticed examination Topics and failed to adequately produce responsive documents to the Requests. Code Civ. Proc. § 2025.480.

Sanctions

The supporting declaration describes substantial attorneys' fees incurred in the preparation of this motion ("over 12 hours, 19 at a rate of $900 per hour" plus "over 40 hours, at a rate of $655 per hour"). See Mayer Decl., ¶21. However, no supporting billing statements were proffered. While the Separate Statement was extensive and the review of the non-responsiveness required length discussion of the deposition record, the Court finds the claimed hours excessive. The trial court has broad authority to determine the amount of a reasonable fee. *Holguin v. Dish Network LLC* (2014) 229 Cal.App.4th 1310, 1329. The trial court is under no obligation to award the full extent of fees claimed by the prevailing party and may, for example, reduce a fee award where it finds certain claimed fees were inefficient or duplicative. *Id*. at 1330. In the exercise of its discretion, the Court awards $10,000 in monetary sanctions. However, the Court reserved jurisdiction to award further monetary sanctions pending full compliance by the deponent.

The Court finds that the deponent's failure to adequately respond to deposition examination and to produce responsive documents constitutes failing to respond to an authorized method of discovery, pursuant to Code of Civil Procedure section 2023.010(d). The Court finds that such conduct constituted conduct that was a misuse of the discovery process within the meaning of Code of Civil Procedure section 2023.030 and that such conduct warrants the imposition of monetary sanctions. In failing to adequately respond, the Court finds that the deponent did not act with substantial justification. Furthermore, the Court does not find any other circumstances that would make the imposition of monetary sanctions unjust.

Disposition

The Court finds and orders as follows:

1. The Motion to Compel Further Deposition is **GRANTED**.
2. The Church Defendant shall pay monetary sanctions to Plaintiff in the amount of **$10,000.00** (the "Monetary Sanctions"). The Court finds that the Monetary Sanctions are reasonable expenses, including attorneys' fees, incurred by the Plaintiff as a result of the foregoing conduct by the Church Defendant. In fixing said amount, the Court has considered all evidence in the record before the Court, including the supporting declarations of the moving party and the opposition. The Monetary Sanctions shall be paid by the Church Defendant within **thirty (30) calendar days** of notice of entry of this order.
3. The Court shall issue the order after hearing previously lodged by the moving party.

17. 9:01 AM CASE NUMBER: C25-02936
CASE NAME: SYLVIA HOLDEN VS. SFS 39 INC.
***HEARING ON MOTION FOR DISCOVERY AN ORDER QUASHING OR LIMITING SUBPOENA DUCES TECUM**
FILED BY: HOLDEN, SYLVIA
****TENTATIVE RULING:****

The Parties were ordered to engage in further meet and confer regarding this discovery related motion pursuant to the Court's Order issued April 6, 2026. The parties were to do so by "by direct talks via Zoom or telephone." No declarations were filed regarding such further meet and confer efforts, including the opposition declaration which fails to address the further meet and confer ordered in April 2026. The parties are **ORDERED TO APPEAR**.